ECON 150 · Lecture 1
Supply and Demand

Intro Microeconomics · fictional course for testing

Demand

- Law of demand: price ↑ → quantity demanded ↓ (other things equal)
- Demand curve slopes downward
- A price change = movement **along** the curve
- Anything else = a **shift** of the curve

What shifts demand

- Income: normal good (demand ↑ when income ↑), inferior good (demand ↓)
- Prices of related goods: substitutes, complements
- Tastes, expectations, number of buyers

Supply

- Law of supply: price ↑ → quantity supplied ↑
- Shifters: input prices, technology, expectations, number of sellers
- Cheaper inputs or better technology → supply shifts right

Equilibrium

Market clears where Qd = Qs.

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Qd = 100 − 2P    Qs = 20 + 2P
100 − 2P = 20 + 2P → P* = 20, Q* = 60
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Surplus and shortage

- Price above equilibrium → quantity supplied > demanded → surplus
- Price below equilibrium → shortage
- Example above: at P = 25, Qd = 50, Qs = 70 → surplus of 20

Shifts and the new equilibrium

- Demand ↑ → P ↑, Q ↑
- Supply ↑ → P ↓, Q ↑
- Both shift → one of P or Q is ambiguous without magnitudes

Price controls

- Binding price ceiling: set **below** equilibrium → shortage
- Binding price floor: set **above** equilibrium → surplus
- A ceiling above equilibrium does nothing